

Procure Space ETF

SPCX NASDAQ

Buy	\$116.22 ▲ 3.26%	12M Price Target \$145.00	52-Week Range \$107.01 – \$225.64	Market Cap \$1.53T
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SPCX: Space ETF Bouncing on SpaceX Contract Wins

WHAT HAPPENED

- SPCX popped 3.3% today after getting slapped down 3.4% yesterday — the whip is mostly about SpaceX, which is the fund's biggest holding. Two things moved the needle: a \$1.6B Pentagon contract win and news that federal permitting requirements for launches are being scrapped (that's a huge deal — permitting delays have been the #1 bottleneck for launch cadence).
- The Tech sector ripped +5.6% today too, so some of this is just risk-on beta — meaning when big tech rallies, speculative growth names like space stocks get dragged along for the ride.

WHY IT MATTERS

Here's the real story: SPCX is basically a leveraged bet on SpaceX + government space spending, and both tailwinds are strengthening. The Pentagon contract win + the GuruFocus piece flagging that "SpaceX's Pentagon role is getting harder to ignore" tells you the defense establishment is increasingly dependent on private space — which means budget cuts are politically very hard. The permitting scrap is arguably bigger than the contract: if launch approvals speed up, every company in this ETF (Rocket Lab, Iridium, Planet Labs, etc.) can push more revenue through faster. The stock is at 8% of its 52-week range though — meaning it's near the bottom — so sentiment is still cautious and any positive catalyst gets outsized reaction.

POLICY & POLITICAL WATCH

Two policy items to watch: (1) The FY2027 defense authorization is being marked up in committee — the Space Force budget is expected to grow ~15%, and if that holds, it's a direct tailwind for SPCX holdings. (2) The permitting reform (FAA launch licensing) that just got scrapped/streamlined is a quiet but massive deregulation win — this was a bipartisan pain point and its removal is worth billions in unlocked launch capacity. Also worth noting: the CLARITY Act headline is about crypto, not space, so ignore that noise for this ticker.

IS IT EXPENSIVE?

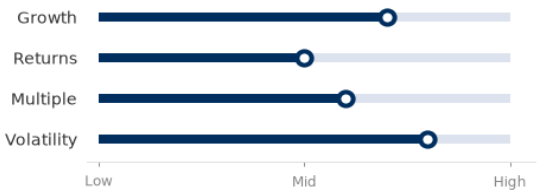
SPCX is an ETF, so traditional P/E doesn't really apply — you're paying for a basket of ~30 space stocks with SpaceX exposure baked in. At \$116 vs a 52-week high of \$225, you're getting the basket at roughly half of last year's peak, which is cheap IF you believe the sector story is intact. The catch: institutional ownership is only 1.5% — meaning the big money hasn't shown up yet, which is either a red flag or an opportunity depending on your view.

WHAT COULD GO WRONG

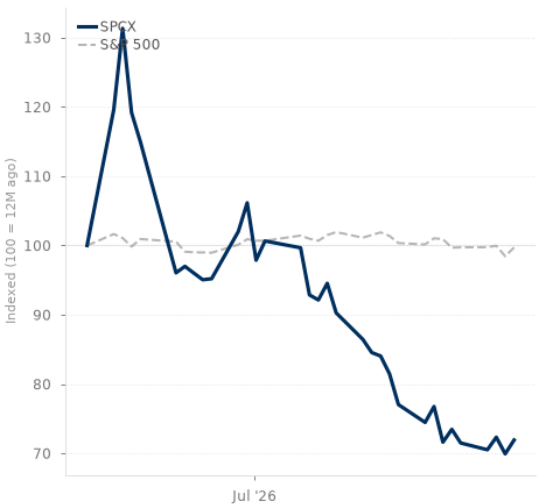
Key Data

Price (USD)	\$116.22
12M Price Target	\$145.00
Upside / (Downside)	+24.8%
Market Cap	\$1.53T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$118.00	\$108.00
6 Months	\$145.00	\$128.00	\$100.00
1 Year	\$175.00	\$145.00	\$95.00
2 Years	\$220.00	\$170.00	\$90.00
5 Years	\$320.00	\$230.00	\$110.00
10 Years	\$500.00	\$350.00	\$130.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+5.6% today) is roaring back — that's a risk-on signal that helps speculative growth names like space. Defense/aerospace is quietly strong on the Pentagon spending narrative.

COOLING OFF: Utilities, Financials, and Materials all red today — classic defensive rotation OUT, growth rotation IN.

ROTATION WATCH: Money is clearly moving back into growth/tech today after a soft week. If this holds, space names benefit as the "long-duration growth" trade — meaning stocks whose big payoffs are years away, which do better when investors feel optimistic.

RELATED PLAY: If SPCX runs, look at pure-plays like RKLB (Rocket Lab) or LUNR (Intuitive Machines) for more torque, or ITA (defense ETF) for the safer version of the same thesis.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Riding the permitting reform news hard — they're the #2 launcher and benefit most from faster FAA approvals
- LMT (Lockheed Martin): Space Systems division quietly winning contracts alongside SpaceX — a boring way to play the same trend

SPCX CONTEXT: SPCX is lagging pure-play names because it's diversified — meaning it moves less than a single space stock, both up and down. That's fine if you want the theme without picking a winner, but if you have conviction on a specific name, single stocks will outperform.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the setup (near 52-week lows, policy tailwinds, Pentagon momentum) but the low institutional ownership and SpaceX concentration keep me from pounding the table.

POSITION SIZE: 2-4% — this is a thematic bet, not a core holding. Space is volatile and the ETF is thinly held.

ENTRY POINTS: Add on pullbacks to \$110-113. The stock has been chopping in this range and each dip has been bought.

TIME HORIZON: 12-24 months. The catalysts (defense bill passage, launch cadence acceleration, potential SpaceX IPO chatter) all play out over that window.

WHEN TO BAIL: If the FY2027 defense bill cuts Space Force funding, or if SpaceX has a major operational setback, exit. Also bail if it breaks below \$107 (52-week low) on volume — that means the thesis is breaking.

HEDGING: Pair it with a boring defense ETF like ITA — if space specifically underperforms but defense broadly holds up, you're protected. Or just size the position small enough that a 30% drawdown doesn't ruin your week.